
Cambridge International AS Level

BUSINESS 9609

Advanced Revision Examination Papers

QUESTION PAPERS

For examination in October / November 2026

Syllabus content for 2026, 2027 and 2028

15 papers · 20 questions per paper · 300 questions

Extension / higher-demand standard · AS Level (Papers 1 & 2 style)

About these papers

- Each paper contains 20 questions arranged in three sections: Section A (short-answer), Section B (essay / extended response) and Section C (data response / case study), mirroring the structure and command words of Cambridge 9609 Papers 1 and 2.
- A multi-part question, e.g. parts (a) and (b), is counted as ONE question. Marks for every part are shown in brackets, e.g. [8].
- Diagrams (break-even charts, product life cycles, the Boston Matrix, inventory control charts and others) appear where relevant. Some are provided as stimulus; others must be drawn by the candidate.
- Full worked answers and Cambridge-style level-of-response mark schemes are in the companion document: 'MARK SCHEME'.

PAPER 1

Time: 1 hour 45 minutes

Enterprise: business activity, entrepreneurs & business plans**Total: 192 marks***Syllabus 1.1 – The nature of business activity, the role of entrepreneurs and intrapreneurs, and business plans.**Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.***SECTION A – Short-answer questions****[77 marks]***Answer all questions in this section.*

- 1 (a) Define the term 'opportunity cost'. **[3]**
 (b) Explain, using an example, why opportunity cost is important to an entrepreneur with limited capital. **[5]**
- 2 (a) State the four factors of production. **[2]**
 (b) Analyse how a new coffee-shop combines the four factors of production to add value. **[6]**
- 3 (a) Define 'adding value'. **[3]**
 (b) Explain two ways a smartphone manufacturer could increase the value it adds. **[5]**
- 4 (a) Define 'enterprise' as a factor of production. **[2]**
 (b) Explain two qualities an entrepreneur needs to succeed. **[6]**
- 5 (a) Distinguish between risk and uncertainty. **[4]**
 (b) Explain one way an entrepreneur could reduce business risk. **[3]**
- 6 (a) Define 'intrapreneurship'. **[3]**
 (b) Analyse how intrapreneurship can contribute to the ongoing success of an established business. **[6]**
- 7 (a) State two barriers to entrepreneurship. **[2]**
 (b) Explain how a lack of finance acts as a barrier to entrepreneurship. **[4]**
- 8 (a) Define 'business plan'. **[2]**
 (b) Explain two benefits of writing a business plan before starting up. **[6]**
- 9 (a) Distinguish between a multinational business and a national business. **[4]**
 (b) Explain one reason a business may become multinational. **[3]**
- 10 (a) Identify two reasons why businesses fail. **[2]**
 (b) Analyse why a shortage of cash is often a more immediate cause of failure than low profit. **[6]**

SECTION B – Essay questions**[80 marks]***Answer all questions. Marks are awarded for analysis and evaluation.*

- 11 (a) Analyse the role of the entrepreneur in creating and starting up a business. **[8]**
 (b) 'The single most important quality for entrepreneurial success is a willingness to take risks.' Evaluate this view. **[12]**
- 12 (a) Analyse how the factors of production are used to add value in a manufacturing business. **[8]**
 (b) Evaluate the importance of a business plan to an entrepreneur seeking external finance. **[12]**
- 13 (a) Analyse the barriers to entrepreneurship a person starting a business in a low-income country might face. **[8]**
 (b) Evaluate the contribution of business enterprise to the economic development of a country. **[12]**

- 14 (a)** Analyse why a dynamic business environment creates both opportunities and threats for entrepreneurs. **[8]**
- (b)** 'Businesses fail mainly because of factors outside the entrepreneur's control.' Evaluate this statement. **[12]**

SECTION C – Data response – Amara's craft kombucha start-up

[35 marks]

Read the case study and use it in your answers.

Amara resigned from her marketing job, where she earned \$42,000 per year, to start 'LiveCulture', a business producing craft kombucha (a fermented drink). She invested \$25,000 of her own savings and took a \$30,000 bank loan repayable over five years. Before launching she spent three months writing a detailed business plan, which the bank required.

LiveCulture brews the drink in a rented industrial unit and sells bottles to independent cafes and health-food shops. Amara believes strong branding and a genuine health image are her main sources of added value. In the first year she was profitable on paper, yet she often struggled to pay suppliers on time because cafes paid her 60 days after delivery.

A national supermarket chain has now offered to stock LiveCulture in 200 stores. Meeting the order would require a second brewing unit, more staff and a further loan, but it would transform the size of the business.

Table 1: Cost and price data per 500 ml bottle

Item	Amount (\$)
Selling price to retailers	3.00
Bought-in ingredients (tea, sugar, cultures, flavouring)	0.70
Bottle, cap and label	0.35
Direct labour per bottle	0.45
Other variable cost per bottle	0.20

Table 2: Selected first-year figures

Measure	Value
Bottles sold	90,000
Annual fixed costs	\$118,000
Profit for the year	\$26,000
Cash balance at year-end	\$1,900

- 15** Define the term 'added value' (as used by Amara). **[2]**
- 16** Using Table 1, calculate the value added per bottle by LiveCulture. **[3]**
- 17** Explain, using the concept of opportunity cost, the true cost to Amara of leaving her job to start LiveCulture. **[4]**
- 18** Analyse two qualities Amara has shown that are associated with successful entrepreneurs. **[6]**
- 19** Analyse why LiveCulture was profitable yet almost ran out of cash in its first year. **[8]**
- 20** Amara must decide whether to accept the supermarket order. Recommend whether she should accept it. Justify your answer using the case and your knowledge. **[12]**

PAPER 2

Time: 1 hour 45 minutes

Business structure and the size of business**Total: 189 marks**

Syllabus 1.2 & 1.3 – Economic sectors, business ownership, measuring size, small & family businesses, and business growth.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[74 marks]**

Answer all questions in this section.

- 1 (a) Define 'tertiary sector'. [2]
 (b) Explain two reasons why the relative importance of the secondary sector has declined in many high-income economies. [6]
- 2 (a) Distinguish between the private sector and the public sector. [4]
 (b) Explain one consequence of a business moving from the public to the private sector (privatisation). [3]
- 3 (a) Define 'unlimited liability'. [2]
 (b) Analyse why unlimited liability may discourage a sole trader from expanding. [6]
- 4 (a) State two features of a private limited company (Ltd). [2]
 (b) Explain two advantages of forming a private limited company rather than remaining a partnership. [6]
- 5 (a) Define 'franchise'. [3]
 (b) Explain one drawback of buying a franchise for the franchisee. [3]
- 6 (a) State two methods of measuring the size of a business. [2]
 (b) Analyse why different methods of measuring business size can give conflicting results. [6]
- 7 (a) Define 'social enterprise'. [3]
 (b) Explain one difference between the objectives of a social enterprise and a plc. [3]
- 8 (a) Distinguish between a merger and a takeover. [4]
 (b) Identify and explain one example of vertical (backward) integration. [3]
- 9 (a) Define 'organic (internal) growth'. [2]
 (b) Explain two advantages of organic growth compared with growth by takeover. [6]
- 10 (a) State two strengths of a family business. [2]
 (b) Analyse one weakness a family business may face as it grows. [6]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse the reasons why small businesses continue to survive alongside large firms in many industries. [8]
 (b) Evaluate whether limited liability is the most important factor when choosing a form of business ownership. [12]
- 12 (a) Analyse how a horizontal merger could benefit two competing supermarket chains. [8]
 (b) Evaluate the impact of a hostile takeover on the stakeholders of the target business. [12]
- 13 (a) Analyse the reasons for the growing importance of the quaternary sector in developed economies. [8]
 (b) A successful sole trader is considering converting to a public limited company (plc). Evaluate

this decision.

[12]

14 (a) Analyse the importance of joint ventures and strategic alliances as methods of external growth.

[8]

(b) 'Growth by takeover rarely achieves its objectives.' Evaluate this view.

[12]

SECTION C – Data response – GreenRoots grows up

[35 marks]

Read the case study and use it in your answers.

GreenRoots began as a partnership between two friends selling organic vegetable boxes in one city. After eight years it has grown organically into a private limited company (Ltd) with 140 employees and revenue of \$9.2m, operating in four cities. The directors, who still own 100% of the shares, want to expand nationally within three years.

Two options are on the table. Option 1 is a friendly takeover of 'FarmFresh Ltd', a rival organic delivery firm in the north of the country with a loyal customer base but ageing vehicles. Option 2 is a joint venture with a national supermarket to supply an 'organic online' service, sharing costs and profits. A third possibility, floating GreenRoots as a plc to raise capital, has also been suggested by the company's bank.

Table 1: GreenRoots and FarmFresh compared

Measure	GreenRoots	FarmFresh
Revenue (\$m)	9.2	5.4
Employees	140	95
Regions covered	4	3 (north)
Net profit margin	7%	3%
Vehicles	modern	ageing

15 Define the term 'private limited company (Ltd)'.

[2]

16 Identify the type of integration involved if GreenRoots takes over FarmFresh, and justify your answer.

[3]

17 Using Table 1, explain one reason GreenRoots might be attractive to a stock-market investor compared with FarmFresh.

[4]

18 Analyse two benefits to GreenRoots of the joint venture (Option 2) rather than the takeover (Option 1).

[6]

19 Analyse the likely impact on GreenRoots' stakeholders if it becomes a plc.

[8]

20 Recommend which growth option (takeover, joint venture, or plc flotation) GreenRoots should pursue to achieve national expansion. Justify your recommendation.

[12]

PAPER 3**Business objectives and stakeholders**

Time: 1 hour 45 minutes

Total: 188 marks

Syllabus 1.4 & 1.5 – Objectives in the private and public sectors, CSR and the triple bottom line, decision-making, and the influence of stakeholders.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[74 marks]**

Answer all questions in this section.

- 1 (a) Define 'mission statement'. [2]
 (b) Explain the relationship between a mission statement, objectives and tactics. [6]
- 2 (a) State what 'SMART' objectives stands for. [2]
 (b) Explain why setting SMART objectives can improve business performance. [5]
- 3 (a) Define 'corporate social responsibility (CSR)'. [3]
 (b) Analyse one benefit and one cost to a business of adopting CSR. [6]
- 4 (a) Explain the term 'triple bottom line'. [3]
 (b) Explain one reason a business might struggle to meet all three parts of the triple bottom line. [3]
- 5 (a) Distinguish between an internal and an external stakeholder. [4]
 (b) Identify two rights of employees as stakeholders. [3]
- 6 (a) Define 'stakeholder conflict'. [2]
 (b) Analyse how conflict might arise between shareholders and employees when a business tries to cut costs. [6]
- 7 (a) State two objectives of a public-sector organisation. [2]
 (b) Explain why the objectives of a public-sector hospital differ from those of a plc. [4]
- 8 (a) Define 'business ethics'. [2]
 (b) Explain how ethical considerations might influence a clothing firm's objectives. [5]
- 9 (a) Explain how business objectives might change as a business grows. [4]
 (b) Identify one way objectives are translated into targets for departments. [3]
- 10 (a) State the stages of business decision-making. [3]
 (b) Analyse the role of objectives in the decision-making process. [6]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse how a business might benefit from clearly communicating its objectives to its workforce. [8]
 (b) 'A business should always put its shareholders' interests first.' Evaluate this view. [12]
- 12 (a) Analyse how the relative power of different stakeholders can affect a business decision to close a factory. [8]
 (b) Evaluate whether pursuing CSR objectives is worthwhile for a business operating in a very competitive market. [12]
- 13 (a) Analyse why a business's objectives may change over its life or with a change in the economic environment. [8]
 (b) Evaluate the importance to a business of accountability to its stakeholders. [12]

- 14 (a)** Analyse how translating objectives into budgets and targets can help a business monitor performance. **[8]**
- (b)** 'Ethical behaviour and profitability cannot go together.' Evaluate this statement. **[12]**

SECTION C – Data response – Lumina Textiles and the closure decision [34 marks]

Read the case study and use it in your answers.

Lumina Textiles is a plc that manufactures clothing. Its mission is 'to clothe the world responsibly' and it publicly promotes its CSR credentials. Facing falling profits and pressure from institutional shareholders, the board is considering closing its oldest factory, which employs 620 people in a small town where it is the largest employer, and shifting production to a lower-cost country.

A trade union represents 70% of the factory's workers and has threatened strike action. The local government has offered a temporary grant to keep the factory open. Meanwhile, several large customers have said they value Lumina's 'ethically made' image and would review their orders if the closure led to negative publicity.

Table 1: Estimated annual impact of closure

Item	Effect
Cost saving from relocation	+\$4.1m
Redundancy payments (one-off)	-\$3.6m
Expected fall in sales from reputation damage	-\$1.8m
Jobs lost in the town	620
Local government grant if factory stays	+\$0.9m/yr for 2 yrs

- 15** Define the term 'stakeholder'. **[2]**
- 16** Identify two external stakeholders of Lumina affected by the closure decision. **[2]**
- 17** Explain how the closure decision conflicts with Lumina's mission statement. **[4]**
- 18** Analyse the likely reactions of two stakeholder groups to the proposed closure. **[6]**
- 19** Using Table 1, analyse the financial case for and against closing the factory in the first year. **[8]**
- 20** Recommend whether Lumina should close the factory. Justify your recommendation using the case and figures. **[12]**

PAPER 4

Time: 1 hour 45 minutes

Human resource management: planning, recruitment & selection**Total: 184 marks**

Syllabus 2.1.1–2.1.4 – The role of HRM, workforce planning, labour turnover, recruitment, selection, contracts, redundancy and dismissal.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[72 marks]**

Answer all questions in this section.

- 1 (a) Define 'human resource management (HRM)'. [2]
(b) Explain two roles of HRM in helping a business meet its objectives. [6]
- 2 (a) Define 'labour turnover'. [2]
(b) State the formula for labour turnover and calculate it for a firm where 24 of 300 staff left this year. [4]
- 3 (a) Explain two problems that high labour turnover can cause a business. [6]
(b) Explain one situation in which some labour turnover is beneficial. [3]
- 4 (a) Distinguish between a job description and a person specification. [4]
(b) Explain why a person specification is useful in the selection process. [3]
- 5 (a) Define 'internal recruitment'. [2]
(b) Analyse two advantages of internal recruitment over external recruitment. [6]
- 6 (a) State two selection methods a business could use. [2]
(b) Explain one limitation of relying only on interviews to select staff. [4]
- 7 (a) Define 'assessment centre'. [3]
(b) Explain one benefit and one drawback of using assessment centres. [4]
- 8 (a) Distinguish between redundancy and dismissal. [4]
(b) Distinguish between voluntary and involuntary redundancy. [3]
- 9 (a) Define 'unfair dismissal'. [3]
(b) Explain why following a fair dismissal procedure matters to a business. [3]
- 10 (a) Define 'workforce plan'. [2]
(b) Analyse two factors a business must consider when producing a workforce plan. [6]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse how effective workforce planning can help a rapidly growing business. [8]
(b) Evaluate whether external recruitment is always better than internal recruitment for senior management posts. [12]
- 12 (a) Analyse the costs to a business of a high level of labour turnover. [8]
(b) Evaluate the most effective methods a business could use to reduce labour turnover. [12]
- 13 (a) Analyse why the selection process is as important as the recruitment process. [8]
(b) 'Making workers redundant is always bad for a business.' Evaluate this view. [12]
- 14 (a) Analyse the importance of a clear employment contract to both employer and employee. [8]
(b) Evaluate the usefulness of online recruitment compared with traditional methods for a small business. [12]

SECTION C – Data response – Staffing pressures at Meridian Hotels**[32 marks]**

Read the case study and use it in your answers.

Meridian Hotels operates a chain of 12 mid-range hotels. Rapid expansion has created a shortage of trained front-desk and housekeeping staff, and the HR director is worried about a rising labour turnover rate. Many new recruits leave within three months, complaining of poor induction and low pay. Managers rely almost entirely on quick interviews to select staff.

The board wants to open six more hotels in two years. The HR director has proposed: (1) a formal workforce plan, (2) structured selection including a short practical test and references, and (3) an improved induction programme. Some managers argue this is too slow and costly when rooms need staffing now.

Table 1: Meridian workforce data (latest year)

Measure	Value
Average number employed	1,250
Number of staff leaving	375
Average cost to recruit + train one employee	\$1,600
New recruits leaving within 3 months	46%

- 15** Define the term 'induction training'. **[2]**
- 16** Using Table 1, calculate Meridian's labour turnover rate for the year. **[3]**
- 17** Using Table 1, estimate the annual cost to Meridian of replacing the staff who left. **[3]**
- 18** Explain two likely causes of Meridian's high labour turnover, using the case. **[4]**
- 19** Analyse how introducing structured selection and improved induction could benefit Meridian. **[8]**
- 20** The board must decide whether to adopt the HR director's three proposals before expanding. Recommend what Meridian should do. Justify your answer. **[12]**

PAPER 5**Morale, training, development & workforce relations**

Time: 1 hour 45 minutes

Total: 185 marks

Syllabus 2.1.5–2.1.7 – Morale and welfare, diversity and equality, training and development, and management–workforce relations including trade unions.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[71 marks]**

Answer all questions in this section.

- 1 (a) Define 'work–life balance'. [2]
(b) Explain two ways a business could improve the work–life balance of its employees. [6]
- 2 (a) Define 'employee morale'. [2]
(b) Analyse how low employee morale can harm a business. [6]
- 3 (a) Distinguish between on-the-job and off-the-job training. [4]
(b) Explain one advantage of off-the-job training. [3]
- 4 (a) Define 'induction training'. [2]
(b) Explain two benefits of induction training to a business. [6]
- 5 (a) Define 'multi-skilling'. [2]
(b) Explain one benefit and one drawback of multi-skilling for a manufacturer. [4]
- 6 (a) Define 'trade union'. [2]
(b) Analyse how trade union involvement can benefit both employees and employers. [6]
- 7 (a) Define 'collective bargaining'. [3]
(b) Explain one reason a business may prefer collective bargaining to negotiating with each worker individually. [3]
- 8 (a) Define 'diversity' in the workplace. [2]
(b) Analyse how a diverse and inclusive workforce can benefit a business. [6]
- 9 (a) Define 'employee development'. [2]
(b) Explain how employee development can encourage intrapreneurship. [4]
- 10 (a) State two consequences for a business of poor management–workforce relations. [2]
(b) Explain one way managers can improve cooperation with the workforce. [4]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse the impact of training and development on a business. [8]
(b) Evaluate whether spending on training is always a worthwhile investment for a business. [12]
- 12 (a) Analyse how good employee welfare can improve business performance. [8]
(b) Evaluate the view that trade unions are more of a threat than a benefit to a business. [12]
- 13 (a) Analyse how promoting diversity and equality could give a business a competitive advantage. [8]
(b) Evaluate whether on-the-job training is better than off-the-job training for a fast-food chain. [12]
- 14 (a) Analyse the benefits to a business of cooperation between management and the workforce. [8]
(b) 'Improving employee welfare is a cost the business cannot always justify.' Evaluate this statement. [12]

SECTION C – Data response – Unrest at Novak Components**[34 marks]**

Read the case study and use it in your answers.

Novak Components makes car parts in a single large factory employing 900 people, most of them members of a trade union. Management has announced a new shift system to raise output, without consulting staff. The union has balloted for strike action. Absenteeism has risen and three experienced supervisors have resigned.

The new operations director believes the real problems are poor communication, minimal training and weak welfare provision (no proper rest areas, little support for shift workers). She proposes a package: regular consultation with the union, a structured training and development scheme, multi-skilling, and improved welfare facilities. The finance director says the business 'cannot afford it' while profits are falling.

Table 1: Selected data, last two years

Measure	Year 1	Year 2
Labour turnover	9%	17%
Absenteeism rate	4%	9%
Output per worker (units/yr)	1,120	990
Days lost to disputes	0	11

- 15** Define the term 'collective bargaining'. **[2]**
- 16** Identify two signs from Table 1 that morale at Novak is falling. **[2]**
- 17** Explain how the way management introduced the new shift system may have worsened workforce relations. **[4]**
- 18** Analyse how improved training and multi-skilling could help Novak. **[6]**
- 19** Analyse how better cooperation with the trade union could benefit Novak. **[8]**
- 20** The finance director argues Novak 'cannot afford' the proposed package. Evaluate whether Novak should implement the operations director's proposals. Justify your answer. **[12]**

PAPER 6**Motivation and management**

Time: 1 hour 45 minutes

Total: 184 marks

Syllabus 2.2 & 2.3 – Motivation theories (Taylor, Mayo, Maslow, Herzberg, McClelland, Vroom), financial and non-financial motivators, management functions and styles.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[69 marks]**

Answer all questions in this section.

- 1 (a) Define 'motivation'. [2]
(b) Explain why motivating employees is important to a business. [5]
- 2 (a) Outline the main idea of Taylor's theory of motivation. [3]
(b) Explain one criticism of Taylor's approach to motivation. [3]
- 3 (a) Outline the main finding of Mayo's Hawthorne studies. [3]
(b) Explain one way a business could apply Mayo's findings. [3]
- 4 (a) List the five levels of Maslow's hierarchy of needs, from lowest to highest. [3]
(b) Analyse how a manager could use Maslow's hierarchy to motivate staff. [6]
- 5 (a) Distinguish between Herzberg's 'motivators' and 'hygiene factors'. [4]
(b) Explain one implication of Herzberg's theory for job design. [3]
- 6 (a) Outline McClelland's three needs. [3]
(b) Explain how understanding McClelland's needs could help a manager assign roles. [3]
- 7 (a) Outline Vroom's expectancy theory (process theory). [3]
(b) Explain one way a manager could raise motivation using expectancy theory. [3]
- 8 (a) Distinguish between piece rate and salary as payment methods. [4]
(b) Explain one drawback of paying factory workers by piece rate. [3]
- 9 (a) Define 'job enrichment'. [2]
(b) Explain two non-financial methods (other than job enrichment) a business could use to motivate staff. [6]
- 10 (a) Distinguish between an autocratic and a democratic management style. [4]
(b) Explain McGregor's Theory X view of workers. [3]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse the traditional functions of management identified by Fayol. [8]
(b) Evaluate whether financial rewards are the best way to motivate a workforce. [12]
- 12 (a) Analyse how a manager's choice of leadership style could affect employee motivation. [8]
(b) Evaluate the view that there is one best management style for all situations. [12]
- 13 (a) Analyse how Herzberg's two-factor theory could guide a business trying to raise motivation. [8]
(b) Evaluate whether empowering employees is always beneficial for a business. [12]
- 14 (a) Analyse the management roles identified by Mintzberg. [8]
(b) 'A paternalistic style is the most suitable for managing a young, inexperienced workforce.' Evaluate. [12]

SECTION C – Data response – Two managers at Solaris Call Centre**[35 marks]**

Read the case study and use it in your answers.

Solaris runs a customer-service call centre with 300 agents. It has a tall organisational structure. Historically it used Taylorite methods: agents are paid a low basic wage plus a bonus for the number of calls handled, closely monitored on call times, with little discretion. Labour turnover is 40% and customer-satisfaction scores are falling.

A new team manager, Priya, has introduced for her team: team-working, recognition awards, more responsibility to resolve complaints without escalating (empowerment), and a focus on quality rather than call volume. Her team's turnover has fallen and satisfaction has risen, though calls take slightly longer. The centre director must decide whether to roll out Priya's approach across all teams or keep the volume-based bonus system.

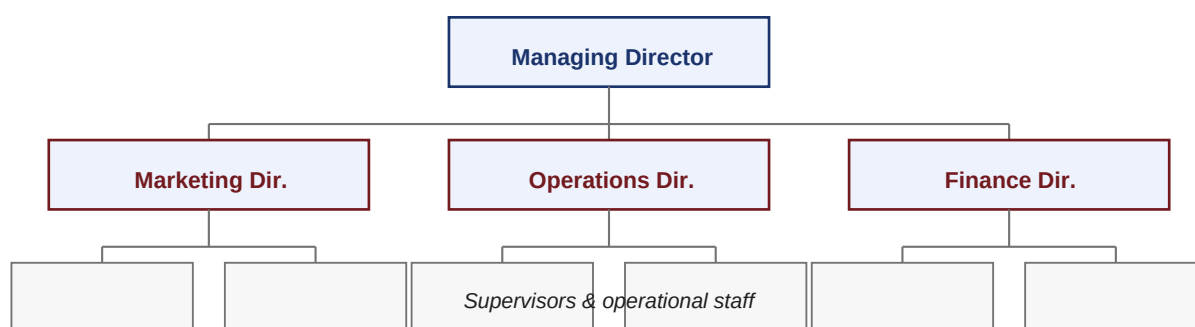


Fig 1: Simplified organisation structure at Solaris

Table 1: Priya's team vs the rest (last quarter)

Measure	Priya's team	Other teams
Labour turnover (annualised)	12%	40%
Customer satisfaction	88%	71%
Average call time	6.4 min	5.1 min
Complaints resolved first call	81%	58%

- 15** Define the term 'empowerment'. **[2]**
- 16** Identify the motivation theorist whose ideas best match Solaris's original bonus-per-call system, and justify your choice. **[3]**
- 17** Using Table 1, explain one benefit and one drawback of Priya's approach. **[4]**
- 18** Analyse how Priya's methods could be explained using Herzberg's or Maslow's theory. **[6]**
- 19** Analyse how the tall organisational structure (Fig 1) might affect motivation and communication at Solaris. **[8]**
- 20** Recommend whether the director should roll out Priya's approach across the whole call centre. Justify your recommendation using the data. **[12]**

PAPER 7**The nature of marketing**

Time: 1 hour 45 minutes

Total: 184 marks

Syllabus 3.1 – Marketing objectives, demand and supply, types of market, mass and niche marketing, segmentation and customer relationship marketing.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[72 marks]**

Answer all questions in this section.

- 1 (a) Define 'marketing objective'. [2]
 (b) Explain the link between marketing objectives and corporate objectives. [5]
- 2 (a) State two factors that influence the demand for a product. [2]
 (b) Explain how a rise in consumer incomes could affect demand for a luxury car. [4]
- 3 (a) Explain how the interaction of demand and supply determines the market price. [4]
 (b) Draw and label a demand and supply diagram showing equilibrium price and quantity. [3]

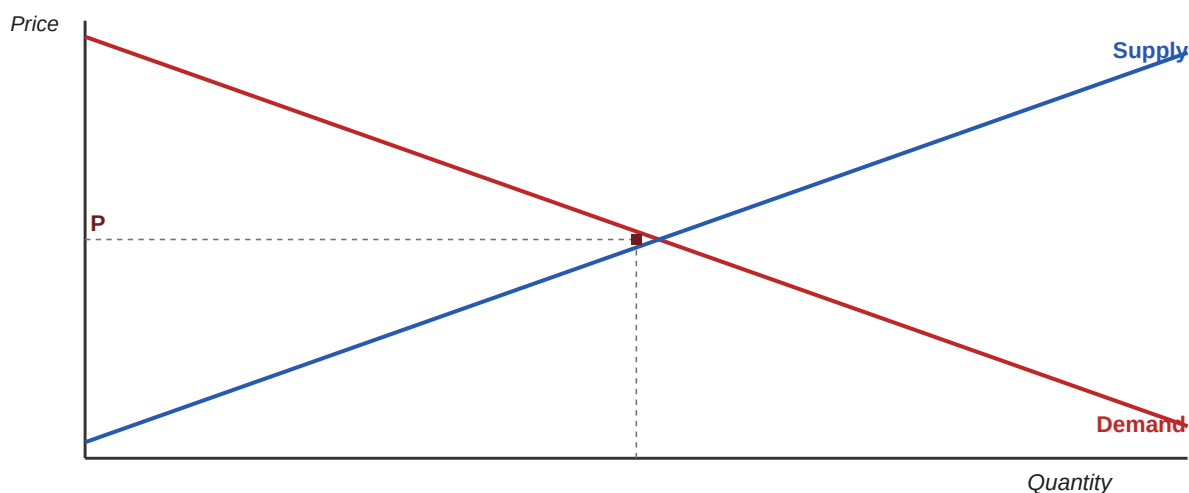


Fig: Draw a diagram like this and label equilibrium P and Q

- 4 (a) Distinguish between a consumer market and an industrial market. [4]
 (b) Explain one way marketing differs between B2C and B2B. [3]
- 5 (a) Define 'market share'. [2]
 (b) A firm sells \$6m in a market worth \$40m. Calculate its market share and explain one implication of a rising share. [5]
- 6 (a) Distinguish between mass marketing and niche marketing. [4]
 (b) Explain one advantage of niche marketing for a small business. [3]
- 7 (a) State the three main methods of market segmentation. [3]
 (b) Analyse two benefits to a business of segmenting its market. [6]
- 8 (a) Define 'customer relationship marketing (CRM)'. [3]
 (b) Explain one cost and one benefit of CRM. [4]
- 9 (a) Distinguish between product orientation and market (customer) orientation. [4]
 (b) Explain one risk of being product-orientated. [3]
- 10 (a) Define 'market growth'. [2]
 (b) Analyse the implications for a business of operating in a rapidly growing market. [6]

SECTION B – Essay questions**[80 marks]***Answer all questions. Marks are awarded for analysis and evaluation.*

- 11 (a)** Analyse how market segmentation could help a clothing retailer increase sales. **[8]**
- (b)** Evaluate whether niche marketing or mass marketing is the better strategy for a new food producer. **[12]**
- 12 (a)** Analyse how a business could become more market-orientated. **[8]**
- (b)** Evaluate the view that customer relationship marketing is worth the investment for all businesses. **[12]**
- 13 (a)** Analyse how changes in supply and demand could affect the price and sales of coffee for a cafe chain. **[8]**
- (b)** Evaluate the importance of setting SMART marketing objectives for a business launching a new product. **[12]**
- 14 (a)** Analyse why a growing market share can benefit a business. **[8]**
- (b)** 'Understanding customers is more important than beating competitors.' Evaluate this view for a marketing manager. **[12]**

SECTION C – Data response – BrightBrew targets a niche**[32 marks]***Read the case study and use it in your answers.*

BrightBrew is a small producer of premium, ethically sourced coffee pods aimed at higher-income, environmentally conscious consumers – a niche it has served profitably for three years. The market for coffee pods is growing at 12% per year but is dominated by two large firms using mass marketing. BrightBrew builds strong relationships with customers through a subscription service and personalised recommendations.

A global recession has squeezed consumer incomes and a bean shortage has raised BrightBrew's costs. The founders are considering two moves: (a) broaden into mass-market, cheaper pods sold through supermarkets, or (b) invest further in CRM and its premium niche. They must decide how to segment and target the market.

Table 1: BrightBrew market data

Measure	Value
BrightBrew annual sales	\$3.1m
Total pod market size	\$260m
Market growth (per year)	12%
Repeat-purchase (subscription) rate	68%
Average customer income	top 20%

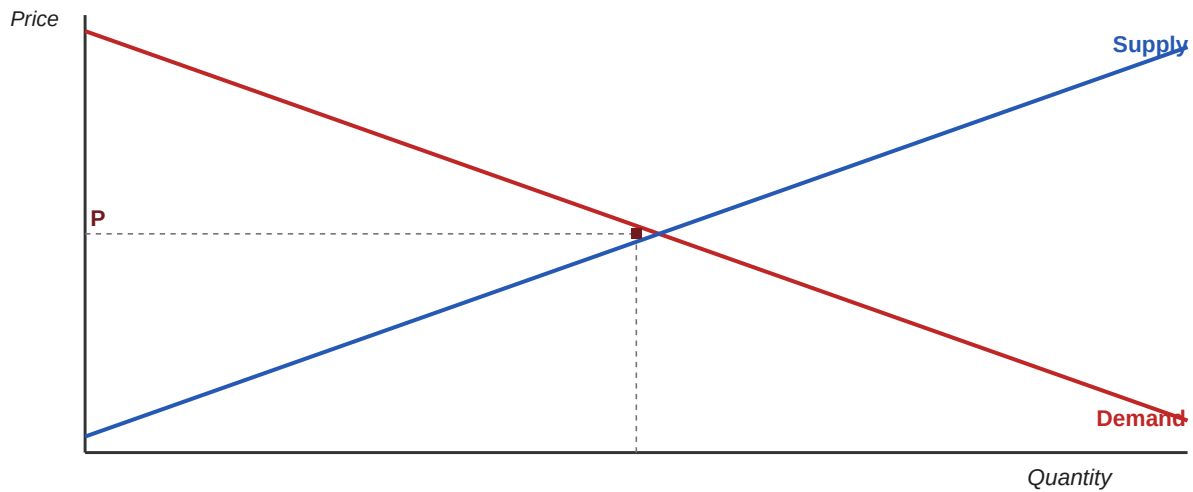


Fig 1: A bean shortage shifts supply, raising input prices

- | | |
|--|-------------|
| 15 Define the term 'niche market'. | [2] |
| 16 Using Table 1, calculate BrightBrew's market share. | [3] |
| 17 Identify the segmentation base BrightBrew mainly uses, and justify your answer. | [3] |
| 18 Explain how the bean shortage (Fig 1) is likely to affect BrightBrew's costs and pricing. | [4] |
| 19 Analyse the benefits to BrightBrew of its customer relationship marketing. | [8] |
| 20 Recommend whether BrightBrew should move into the mass market or stay in its premium niche. Justify your recommendation. | [12] |

PAPER 8**Market research and the product**

Time: 1 hour 45 minutes

Total: 179 marks

Syllabus 3.2 & 3.3.1–3.3.3 – Purposes of market research, primary/secondary research, sampling, interpreting data, the marketing mix and the product element.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[69 marks]**

Answer all questions in this section.

- 1 (a) Define 'market research'. [2]
 (b) Explain two purposes of conducting market research. [6]
- 2 (a) Distinguish between primary and secondary research. [4]
 (b) Explain one advantage of primary research over secondary research. [3]
- 3 (a) State two methods of primary research. [2]
 (b) Analyse one limitation of using questionnaires. [6]
- 4 (a) Define 'sample' in market research. [2]
 (b) Explain why sampling is necessary and one limitation of it. [4]
- 5 (a) Distinguish between quantitative and qualitative data. [4]
 (b) Explain why a business might use both types of data. [3]
- 6 (a) Explain what is meant by the reliability of data. [3]
 (b) Explain one factor that could reduce the reliability of market research data. [3]
- 7 (a) State the 4Ps of the marketing mix. [2]
 (b) Explain why the elements of the marketing mix must be consistent with each other. [4]
- 8 (a) Distinguish between the tangible and intangible attributes of a product. [4]
 (b) Explain why intangible attributes can be important for a car manufacturer. [3]
- 9 (a) Define 'unique selling point (USP)'. [2]
 (b) Analyse how a strong USP can benefit a business. [6]
- 10 (a) Define 'product differentiation'. [2]
 (b) Explain the importance of product development to a business over time. [4]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse why market research is important before launching a new product. [8]
 (b) Evaluate whether primary research is always better than secondary research for a small business. [12]
- 12 (a) Analyse how the reliability of market research data affects the quality of business decisions. [8]
 (b) Evaluate the importance of a unique selling point to the success of a product. [12]
- 13 (a) Analyse the difference between marketing a good and marketing a service. [8]
 (b) 'Investing in product development is the most effective way to grow sales.' Evaluate. [12]
- 14 (a) Analyse how a business could use both quantitative and qualitative research to plan a product launch. [8]
 (b) Evaluate the reliability of the results a business can obtain from sampling. [12]

SECTION C – Data response – FreshFizz researches a launch**[30 marks]**

Read the case study and use it in your answers.

FreshFizz, a soft-drinks company, plans to launch a low-sugar sparkling drink. Before committing, it conducted market research: an online survey of 500 people and two focus groups. The survey found strong interest among 18–34 year-olds; the focus groups revealed that taste and a 'natural' image mattered more than price. Competitors already offer similar drinks, so FreshFizz needs a clear USP.

The marketing manager must interpret the data below and decide on the product and its positioning. Some directors doubt the research, noting the survey was only of existing FreshFizz website visitors.

Table 1: Survey results (n = 500)

Statement	% who agree
Would try a new low-sugar sparkling drink	64%
Willing to pay a premium for 'natural' ingredients	41%
Taste is the most important factor	58%
Buy soft drinks at least weekly	72%

- 15** Define the term 'focus group'. **[2]**
- 16** Identify whether the survey and focus groups are primary or secondary research, and justify your answer. **[3]**
- 17** Using Table 1, calculate how many of the 500 respondents said they would try the drink. **[3]**
- 18** Explain one reason the directors are right to question the reliability of the survey. **[4]**
- 19** Analyse how FreshFizz could use the research findings to develop a USP for the drink. **[6]**
- 20** Recommend how FreshFizz should position the new drink, using the research. Justify your recommendation and note the limitations of the data. **[12]**

PAPER 9**The marketing mix: portfolio, price, promotion & place**

Time: 1 hour 45 minutes

Total: 185 marks

Syllabus 3.3.3–3.3.6 – Product life cycle, Boston Matrix, pricing methods, promotion (including digital), branding, packaging and channels of distribution.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[69 marks]**

Answer all questions in this section.

- 1 (a) Define 'product life cycle'. [2]
 (b) Explain two extension strategies a business could use to prolong the maturity stage. [6]

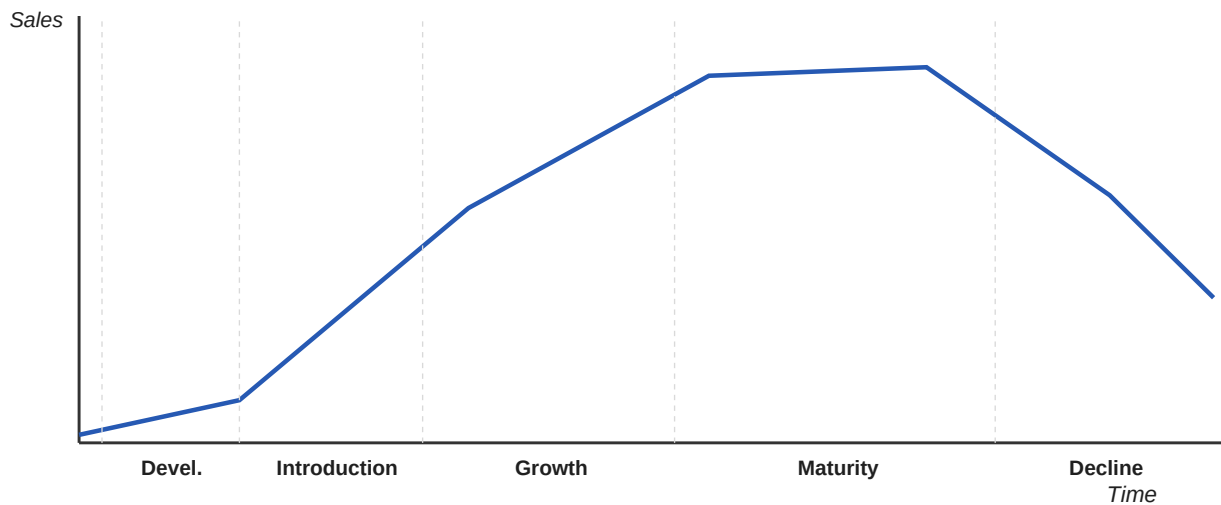


Fig: The product life cycle (sketch it and label the stages)

- 2 (a) State the four categories of the Boston Matrix. [2]
 (b) Analyse how the Boston Matrix can help a business manage its product portfolio. [6]

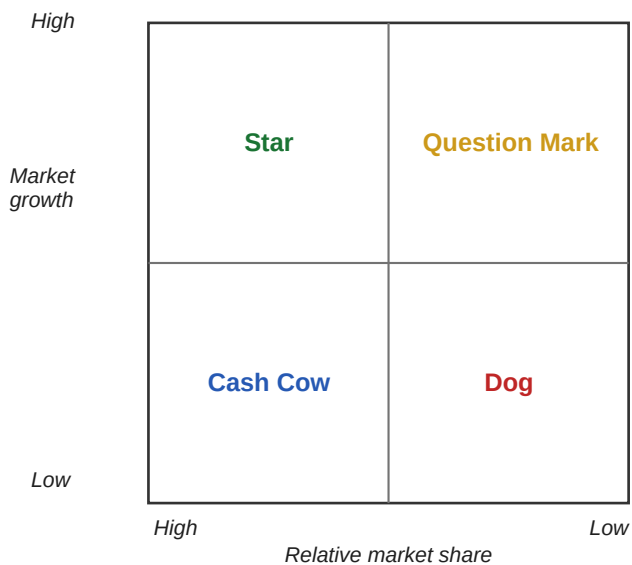


Fig: The Boston Matrix

- 3 (a) Define 'penetration pricing'. [2]
 (b) Explain a situation where penetration pricing would be appropriate. [4]

- 4 (a) Define 'price skimming'. [2]
 (b) Explain why skimming might suit a new technology product. [4]
- 5 (a) Define 'dynamic pricing'. [3]
 (b) Explain one risk of using dynamic pricing. [3]
- 6 (a) Distinguish between cost-based pricing and competitive pricing. [4]
 (b) Explain one limitation of cost-based pricing. [3]
- 7 (a) State two objectives of promotion. [2]
 (b) Analyse the growing importance of digital promotion for businesses. [6]
- 8 (a) Explain the role of branding in promotion. [4]
 (b) Explain the role of packaging in promotion. [3]
- 9 (a) Distinguish between digital and physical distribution channels. [4]
 (b) Explain one benefit to a manufacturer of selling directly to consumers online. [3]
- 10 (a) Define 'price discrimination'. [2]
 (b) Explain one example of psychological pricing and why it works. [4]

SECTION B – Essay questions

[80 marks]

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse how a business could use the product life cycle to plan its marketing. [8]
 (b) Evaluate whether penetration pricing is the best strategy for launching a new product in a competitive market. [12]
- 12 (a) Analyse the factors a business should consider when choosing a channel of distribution. [8]
 (b) Evaluate the view that digital promotion has made traditional advertising unnecessary. [12]
- 13 (a) Analyse how strong branding can benefit a business. [8]
 (b) 'The product is the most important element of the marketing mix.' Evaluate this view. [12]
- 14 (a) Analyse how a business could use the Boston Matrix to make marketing decisions. [8]
 (b) Evaluate the usefulness of the product life cycle model for making marketing decisions. [12]

SECTION C – Data response – Aurora Electronics rebalances its portfolio [36 marks]

Read the case study and use it in your answers.

Aurora Electronics sells four product lines. Its long-running 'ClassicPhone' has high market share but the smartphone market is now barely growing; it still generates strong cash. Its new 'FoldX' has a small share in a fast-growing foldable-phone market. A smart-watch has high share in a booming wearables market, while an old MP3 player has low share in a shrinking market.

Marketing must decide pricing and promotion for the FoldX launch and how to manage the portfolio. Options for FoldX include price skimming (it has patented technology) or penetration pricing to build share fast. The finance director wants cash generated by ClassicPhone reinvested wisely.

Table 1: Aurora product portfolio

Product	Market growth	Relative market share
ClassicPhone	Low	High
FoldX	High	Low
Smart-watch	High	High
MP3 player	Low	Low

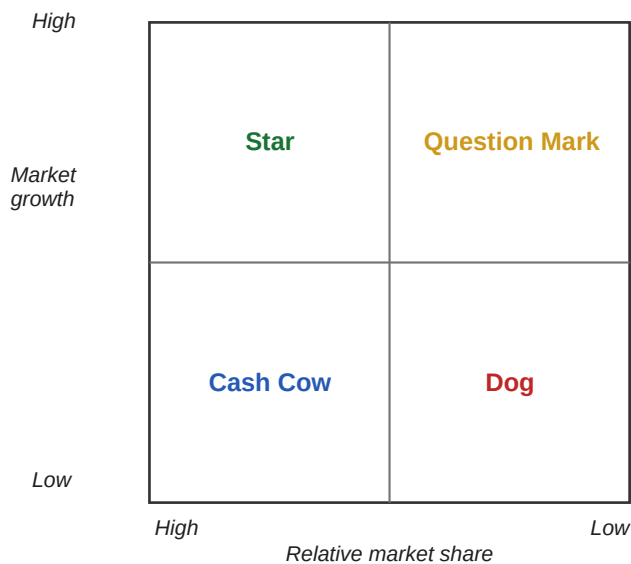


Fig 1: Place each Aurora product in the Boston Matrix

- 15** Define the term 'product portfolio'. [2]
- 16** Using Table 1, classify each of the four products using the Boston Matrix. [4]
- 17** Explain why ClassicPhone is described as generating 'strong cash' despite low market growth. [4]
- 18** Analyse whether price skimming or penetration pricing is more suitable for the FoldX launch. [6]
- 19** Analyse how Aurora could use the cash from ClassicPhone to strengthen its portfolio. [8]
- 20** Recommend a marketing strategy for FoldX, including pricing and promotion. Justify your recommendation using the case. [12]

PAPER 10**The nature of operations**

Time: 1 hour 45 minutes

Total: 183 marks

Syllabus 4.1 – The transformational process, efficiency/effectiveness/productivity/sustainability, capital vs labour intensity, and operations methods (job, batch, flow, mass customisation).

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[71 marks]**

Answer all questions in this section.

- 1 (a) Define the 'transformational process'. **[2]**
 (b) Explain, using an example, how a bakery adds value through the transformational process. **[5]**
- 2 (a) Define 'labour productivity'. **[2]**
 (b) A factory of 20 workers produces 6,400 units a week. Calculate labour productivity and explain one way to raise it. **[5]**
- 3 (a) Distinguish between efficiency and effectiveness. **[4]**
 (b) Explain why a business can be efficient but not effective. **[3]**
- 4 (a) Define 'sustainability' in operations. **[3]**
 (b) Analyse one benefit and one cost to a business of making operations more sustainable. **[6]**
- 5 (a) Distinguish between capital-intensive and labour-intensive operations. **[4]**
 (b) Explain one benefit of capital-intensive production. **[3]**
- 6 (a) Define 'job production'. **[2]**
 (b) Analyse two advantages of job production. **[6]**
- 7 (a) Define 'flow production'. **[2]**
 (b) Explain one disadvantage of flow production. **[4]**
- 8 (a) Define 'batch production'. **[2]**
 (b) Explain one problem of changing from batch to flow production. **[4]**
- 9 (a) Define 'mass customisation'. **[3]**
 (b) Explain one benefit of mass customisation to a business. **[3]**
- 10 (a) State the four factors of production used in operations. **[2]**
 (b) Analyse how improving productivity can make a business more competitive. **[6]**

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse the factors a business should consider when choosing between labour-intensive and capital-intensive production. **[8]**
 (b) Evaluate whether investing to improve productivity is always the best way to raise competitiveness. **[12]**
- 12 (a) Analyse the benefits and drawbacks of flow production for a car manufacturer. **[8]**
 (b) Evaluate the impact on a business of investing to make its operations more sustainable. **[12]**
- 13 (a) Analyse how a business might raise labour productivity. **[8]**
 (b) 'Mass customisation offers the best of both job and flow production.' Evaluate this view. **[12]**
- 14 (a) Analyse how effectiveness differs from efficiency in judging operational performance. **[8]**
 (b) Evaluate whether a small furniture maker should switch from job to batch production as demand grows. **[12]**

SECTION C – Data response – Handcraft vs machine at Terra Ceramics [32 marks]

Read the case study and use it in your answers.

Terra Ceramics makes decorative tiles. Its traditional 'Artisan' range is made by skilled workers using labour-intensive job/batch methods, sold at premium prices. Demand has grown so much that Terra cannot keep up and lead times are long. The operations director proposes investing \$1.8m in an automated (capital-intensive) flow line to make a new standardised 'Everyday' range, and to make Artisan production more sustainable by recycling water and using a more efficient kiln.

Some staff fear job losses and worry the brand's handmade image will suffer. The finance director notes that productivity must rise to remain competitive against cheaper imports.

Table 1: Current vs proposed production

Measure	Artisan (now)	Everyday (proposed)
Method	Job/batch	Flow (automated)
Output per week	2,000 tiles	30,000 tiles
Workers	25	8
Unit cost	\$4.20	\$1.10
Selling price	\$11.00	\$3.50

- 15** Define the term 'capital-intensive production'. [2]
- 16** Using Table 1, calculate labour productivity (tiles per worker per week) for the Artisan range. [3]
- 17** Using Table 1, calculate the added value per tile for the Everyday range. [3]
- 18** Explain one reason Terra wants to keep the Artisan range labour-intensive. [4]
- 19** Analyse the benefits to Terra of investing in the automated flow line for the Everyday range. [8]
- 20** Recommend whether Terra should proceed with the \$1.8m investment and sustainability measures. Justify your answer using the case and data. [12]

PAPER 11**Inventory management, JIT and the supply chain**

Time: 1 hour 45 minutes

Total: 182 marks

Syllabus 4.2 – Purpose and costs of inventory, buffer stock, re-order level, lead time, inventory control charts, supply chain management, and JIT vs JIC.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[70 marks]**

Answer all questions in this section.

- 1 (a) State the three types of inventory a manufacturer holds. [3]
 (b) Explain two benefits to a business of holding inventory. [6]
- 2 (a) Define 'buffer inventory'. [2]
 (b) Explain one cost of holding too much inventory. [4]
- 3 (a) Define 'lead time'. [2]
 (b) Explain how a longer lead time affects the re-order level. [4]
- 4 (a) Define 're-order level'. [2]
 (b) On an inventory control chart, explain what the gap between maximum inventory and buffer inventory represents. [4]

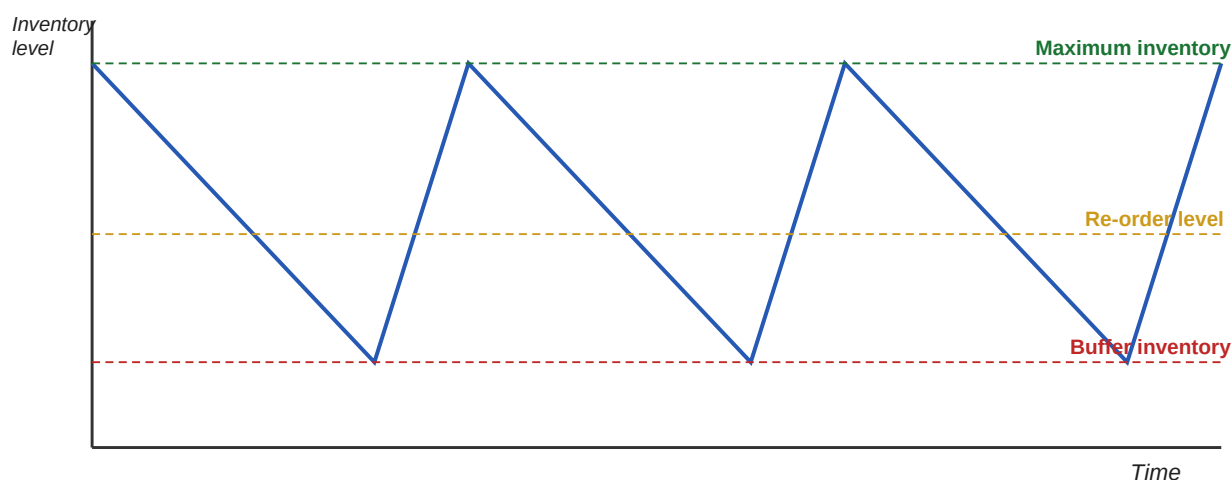


Fig: A typical inventory control chart

- 5 (a) Define 'Just in Time (JIT)'. [3]
 (b) Explain one requirement for JIT to work successfully. [3]
- 6 (a) Distinguish between JIT and JIC (Just in Case). [4]
 (b) Explain one situation where JIC is more appropriate than JIT. [3]
- 7 (a) Define 'supply chain management'. [3]
 (b) Analyse why effective supply chain management is important to a business. [6]
- 8 (a) Explain what happens to inventory levels if usage suddenly rises but the re-order level is unchanged. [4]
 (b) State two costs of running out of inventory (a stock-out). [3]
- 9 (a) Define 'work in progress'. [2]
 (b) Explain one way a business could reduce the amount of cash tied up in inventory. [4]

- 10 (a)** Define 'economic order quantity' (in simple terms). [2]
(b) Analyse the trade-off between ordering in large batches and ordering little and often. [6]

SECTION B – Essay questions

[80 marks]

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a)** Analyse the costs and benefits to a business of holding high levels of inventory. [8]
(b) Evaluate whether a manufacturer should adopt a JIT approach to inventory. [12]
- 12 (a)** Analyse how effective supply chain management can improve a business's competitiveness. [8]
(b) Evaluate the view that holding buffer inventory is a waste of money. [12]
- 13 (a)** Analyse how a business could interpret an inventory control chart to manage stock. [8]
(b) Evaluate whether building resilience into the supply chain is worth the extra cost. [12]
- 14 (a)** Analyse the factors that determine the re-order level and re-order quantity a business should set. [8]
(b) 'A JIC (Just in Case) approach is safer and therefore always better than JIT.' Evaluate. [12]

SECTION C – Data response – Stock trouble at Vela Furniture

[32 marks]

Read the case study and use it in your answers.

Vela Furniture assembles flat-pack furniture. It currently holds large buffer stocks of imported components 'just in case', but storage costs are high and some parts become obsolete when designs change. A consultant recommends moving towards JIT, sourcing more components locally and using an inventory control system with clear re-order levels.

Recently a shipping delay caused a two-week stock-out of a key component, halting one production line. Managers disagree: some want even bigger buffers, others want JIT to free up cash. Vela's cash flow is tight.

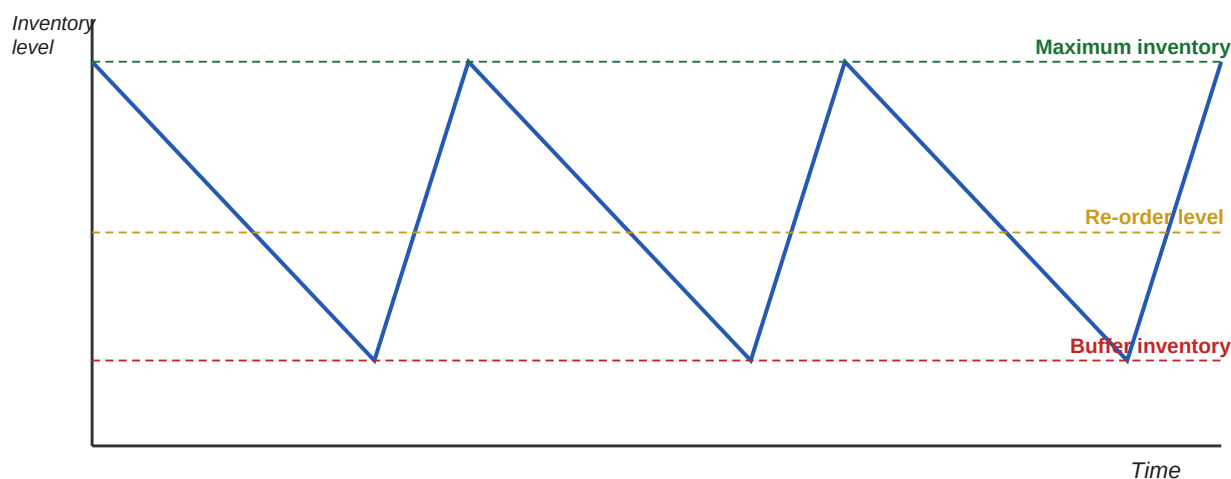


Fig 1: Vela's inventory control chart for a key component

Table 1: Inventory data for a key component

Measure	Value
Maximum inventory	4,000 units
Buffer inventory	800 units
Weekly usage	1,600 units
Lead time	1 week
Annual holding cost per unit	\$3

- 15** Define the term 'lead time'. **[2]**
- 16** Using Table 1, calculate the re-order level for the key component. **[3]**
- 17** Using Table 1, estimate the annual holding cost of the buffer inventory. **[3]**
- 18** Explain one drawback Vela is experiencing from holding large buffer stocks. **[4]**
- 19** Analyse the risks to Vela of moving to a JIT system after the recent shipping delay. **[8]**
- 20** Recommend an inventory strategy for Vela (e.g. full JIT, more local sourcing, or larger buffers).
Justify your recommendation using the case and data. **[12]**

PAPER 12**Capacity utilisation, outsourcing & operations decisions**

Time: 1 hour 45 minutes

Total: 182 marks

Syllabus 4.3 – Measuring and improving capacity utilisation, operating under/over capacity, and the impact of outsourcing, integrated with wider operations decisions.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[72 marks]**

Answer all questions in this section.

- 1 (a) Define 'capacity utilisation'. [2]
 (b) A factory with maximum output of 5,000 units produces 3,750. Calculate its capacity utilisation. [3]
- 2 (a) State the formula for capacity utilisation. [2]
 (b) Analyse two problems of operating at very low capacity utilisation. [6]
- 3 (a) Explain one problem of operating at or above maximum capacity for a long period. [4]
 (b) State two ways a business could increase its capacity. [3]
- 4 (a) Explain two ways a business could improve low capacity utilisation. [6]
 (b) Explain why high capacity utilisation reduces unit costs. [3]
- 5 (a) Define 'outsourcing'. [2]
 (b) Analyse one benefit and one drawback of outsourcing production. [6]
- 6 (a) Explain the relationship between capacity utilisation and profitability. [4]
 (b) State two reasons a business might deliberately keep some spare capacity. [3]
- 7 (a) Define 'rationalisation'. [2]
 (b) Explain one risk of rationalising to improve capacity utilisation. [4]
- 8 (a) Explain how outsourcing can help a business manage fluctuating demand. [4]
 (b) State two factors a business should consider before outsourcing. [3]
- 9 (a) Define 'maximum capacity'. [2]
 (b) Analyse how investing in new technology could raise both capacity and productivity. [6]
- 10 (a) Explain why a seasonal business (e.g. an ice-cream maker) often has low capacity utilisation for part of the year. [4]
 (b) Suggest one way such a business could raise off-season capacity utilisation. [3]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse the effects on a business of operating below its maximum capacity. [8]
 (b) Evaluate the best way for a business to improve low capacity utilisation. [12]
- 12 (a) Analyse the impact of outsourcing on a business and its stakeholders. [8]
 (b) Evaluate whether a business should outsource a key part of its production to a lower-cost country. [12]
- 13 (a) Analyse why operating persistently at 100% capacity could be a problem for a business. [8]
 (b) Evaluate how a rapidly growing business should best increase its capacity. [12]
- 14 (a) Analyse how capacity utilisation, productivity and unit costs are linked. [8]
 (b) 'Outsourcing always harms the workforce.' Evaluate this statement. [12]

SECTION C – Data response – Capacity choices at Orion Bikes**[30 marks]**

Read the case study and use it in your answers.

Orion Bikes manufactures bicycles. Demand has surged following a cycling boom, and the factory is now operating near full capacity, with rising overtime, quality complaints and late deliveries. Orion is considering three options: (1) invest \$2.5m in a new automated production line, (2) outsource frame production to a lower-cost overseas supplier, or (3) rely more on overtime and extra shifts.

The operations director is concerned that the cycling boom may not last. The marketing director insists Orion must meet demand now or lose customers to rivals. Capacity utilisation over recent years is shown below.

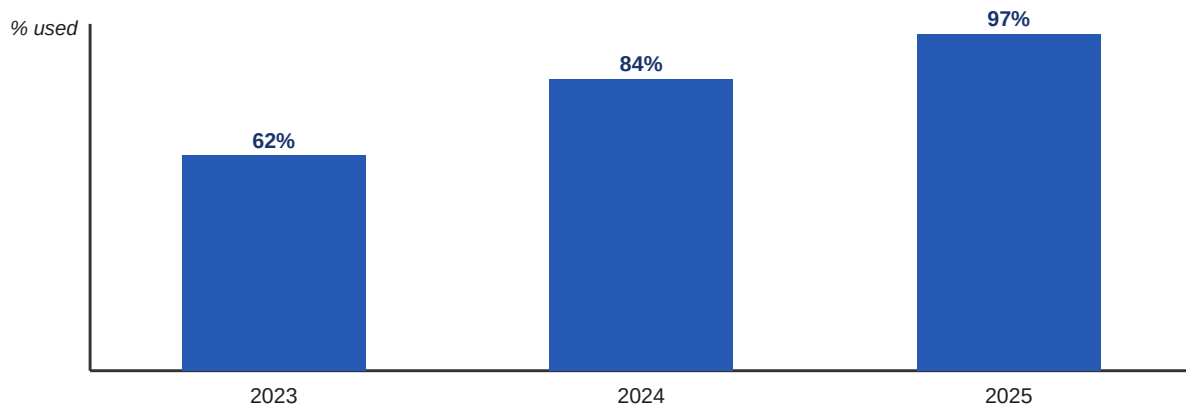


Fig 1: Orion capacity utilisation, 2023–2025

Table 1: Orion production data (2025)

Measure	Value
Maximum output (bikes/yr)	60,000
Current output (bikes/yr)	58,200
Overtime cost last year	\$310,000
Late-delivery penalties	\$95,000
Outsourced frame cost saving (est.)	\$18 per bike

- 15** Define the term ‘capacity utilisation’. **[2]**
- 16** Using Table 1, calculate Orion’s current capacity utilisation. **[3]**
- 17** Identify two problems shown in the case of operating near full capacity. **[2]**
- 18** Using Table 1, estimate the annual saving if all 58,200 bikes used outsourced frames. **[3]**
- 19** Analyse the case for and against outsourcing frame production, using the data. **[8]**
- 20** Recommend which option Orion should choose to deal with the capacity problem. Justify your recommendation using the case and data. **[12]**

PAPER 13**Business finance and sources of finance**

Time: 1 hour 45 minutes

Total: 184 marks

Syllabus 5.1 & 5.2 – The need for finance, cash vs profit, working capital, capital vs revenue expenditure, and internal & external sources of finance.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[71 marks]**

Answer all questions in this section.

- 1 (a) State two reasons a business needs finance. **[2]**
 (b) Distinguish between a short-term and a long-term need for finance. **[5]**
- 2 (a) Explain the difference between cash and profit. **[4]**
 (b) Explain one reason a profitable business might still fail. **[3]**
- 3 (a) Define 'working capital'. **[2]**
 (b) Analyse why managing working capital is important to a business. **[6]**
- 4 (a) Distinguish between trade receivables and trade payables. **[4]**
 (b) Explain one way a business could reduce its trade receivables. **[3]**
- 5 (a) Distinguish between capital expenditure and revenue expenditure. **[4]**
 (b) Explain why the distinction matters for financing decisions. **[3]**
- 6 (a) State two internal sources of finance. **[2]**
 (b) Analyse two advantages of using retained earnings to finance expansion. **[6]**
- 7 (a) Define 'share capital'. **[2]**
 (b) Explain one drawback of raising finance by issuing more shares. **[4]**
- 8 (a) Distinguish between a bank loan and a bank overdraft. **[4]**
 (b) Explain one situation where an overdraft is more suitable than a loan. **[3]**
- 9 (a) Define 'crowdfunding'. **[2]**
 (b) Explain one benefit and one drawback of crowdfunding for a start-up. **[4]**
- 10 (a) Define 'venture capital'. **[2]**
 (b) Analyse why a fast-growing tech start-up might prefer venture capital to a bank loan. **[6]**

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse how the form of business ownership affects the sources of finance available. **[8]**
 (b) Evaluate the factors a business should consider when choosing a source of finance. **[12]**
- 12 (a) Analyse why poor working-capital management can threaten a business's survival. **[8]**
 (b) Evaluate whether internal or external sources of finance are better for funding a major expansion. **[12]**
- 13 (a) Analyse the difference between cash and profit and why it matters to managers. **[8]**
 (b) Evaluate the usefulness of leasing rather than buying non-current assets outright. **[12]**
- 14 (a) Analyse the internal sources of finance a profitable, established business could use to fund growth. **[8]**
 (b) 'A start-up should always avoid debt finance.' Evaluate this view. **[12]**

SECTION C – Data response – Financing growth at Nova Interiors**[33 marks]**

Read the case study and use it in your answers.

Nova Interiors, a private limited company, designs and sells furniture. It is profitable but growing fast, and the owners are worried about cash. Sales are made on 60-day credit to retailers, while Nova pays its own suppliers within 30 days and is building inventory ahead of a big expansion. The owners want to open two new showrooms costing \$900,000 and buy \$400,000 of machinery.

Options discussed include: a five-year bank loan, issuing new shares to a private investor, sale and leaseback of Nova's freehold warehouse, and using retained earnings. The owners are keen to keep control of the company and are cautious about rising debt.

Table 1: Nova Interiors financial summary

Measure	Value
Annual net profit	\$620,000
Retained earnings available	\$350,000
Current assets	\$1.9m
Current liabilities	\$1.4m
Trade receivables	\$1.1m
Existing long-term debt	\$0.3m

- 15** Define the term 'working capital'. **[2]**
- 16** Using Table 1, calculate Nova's working capital. **[3]**
- 17** Explain why Nova can be profitable yet short of cash. **[4]**
- 18** Explain one way Nova could improve its cash position from working capital. **[4]**
- 19** Analyse two suitable sources of finance for the \$1.3m expansion (showrooms + machinery). **[8]**
- 20** Recommend how Nova should finance the \$1.3m expansion. Justify your recommendation using the case and data. **[12]**

PAPER 14

Time: 1 hour 45 minutes

Cash flow, costs, contribution and break-even**Total: 180 marks**

Syllabus 5.3 & 5.4 – Cash flow forecasts, types of cost, full and contribution costing, using cost information, and break-even analysis.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[68 marks]**

Answer all questions in this section.

- 1 (a) Define 'cash flow forecast'. [2]
(b) Explain two benefits of producing a cash flow forecast. [6]
- 2 (a) A business has an opening cash balance of \$12,000, receipts of \$34,000 and payments of \$41,000 in a month. Calculate the closing balance. [3]
(b) Explain one way this business could improve its cash flow. [3]
- 3 (a) Distinguish between fixed costs and variable costs. [4]
(b) Distinguish between direct and indirect costs. [3]
- 4 (a) Define 'contribution' (per unit). [2]
(b) A product sells for \$20 with variable cost \$12. Calculate contribution per unit and total contribution from 5,000 units. [4]
- 5 (a) Explain the difference between contribution and profit. [4]
(b) State one use of contribution costing. [3]
- 6 (a) Define 'break-even level of output'. [2]
(b) A firm has fixed costs of \$60,000, price \$25 and variable cost \$10 per unit. Calculate the break-even output. [4]
- 7 (a) Define 'margin of safety'. [2]
(b) Using the previous firm (break-even 4,000 units), calculate the margin of safety and profit if it sells 7,000 units. [4]
- 8 (a) Distinguish between full costing and contribution costing. [4]
(b) Explain one limitation of full costing. [3]
- 9 (a) Explain how contribution costing can help with a special order decision. [4]
(b) State one situation where contribution costing should NOT be used for pricing. [3]
- 10 (a) State two uses of break-even analysis. [2]
(b) Analyse two limitations of break-even analysis. [6]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse how a cash flow forecast can help a business avoid a liquidity crisis. [8]
(b) Evaluate the usefulness of break-even analysis to a small manufacturer. [12]
- 12 (a) Analyse how accurate cost information helps a business make better decisions. [8]
(b) Evaluate whether contribution costing is more useful than full costing for decision-making. [12]
- 13 (a) Analyse how a business could use break-even analysis to assess the effect of raising its selling price. [8]
(b) 'Cash flow is more important than profit for a new business.' Evaluate this view. [12]

- 14 (a)** Analyse the assumptions on which break-even analysis is based. [8]
- (b)** Evaluate how useful a cash flow forecast is, given that it is based on estimates. [12]

SECTION C – Data response – Break-even and cash at Piatto Pizza

[32 marks]

Read the case study and use it in your answers.

Piatto Pizza is opening a new outlet. Each pizza sells for \$9.00, with variable costs (ingredients, packaging, direct labour) of \$3.60. Monthly fixed costs (rent, salaries, utilities) are \$16,200. The owner has prepared a partial cash flow forecast and wants to know the break-even level of sales and the margin of safety at the expected volume of 4,000 pizzas per month.

The owner is also considering a one-off catering order of 500 pizzas at a special price of \$5.00 each, which some staff think should be rejected because it is 'below the normal price'. There is spare capacity to fulfil it.

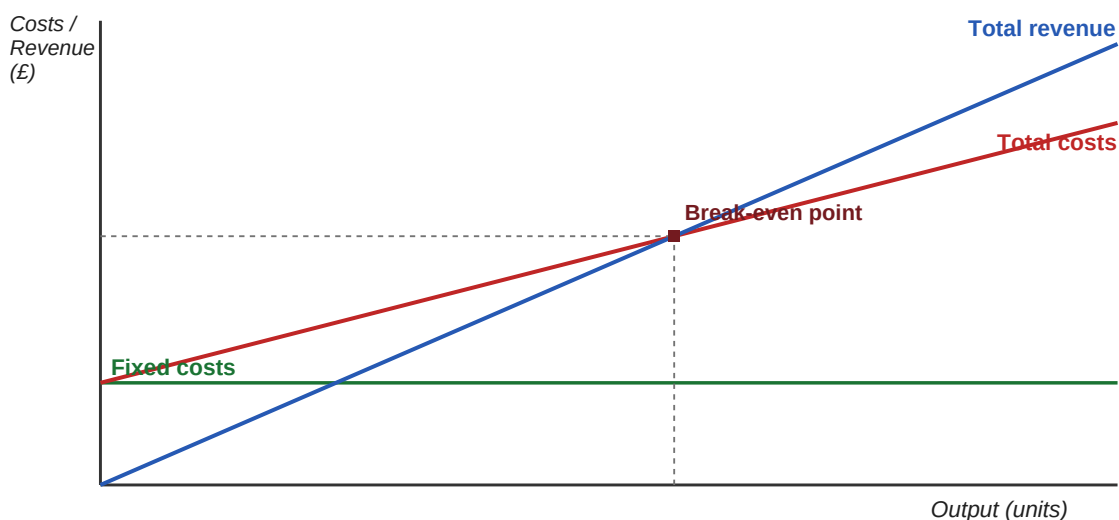


Fig 1: Break-even chart (illustrative). Use the figures to calculate exact values.

Table 1: Partial monthly cash flow forecast (\$)

Item	Month 1	Month 2	Month 3
Opening balance	10,000	?	?
Cash receipts	28,000	34,000	39,000
Cash payments	37,000	33,000	35,000
Net cash flow	?	?	?
Closing balance	?	?	?

- 15** Calculate the contribution per pizza. [2]
- 16** Calculate the break-even level of output per month (in pizzas). [3]
- 17** Calculate the margin of safety and monthly profit at the expected volume of 4,000 pizzas. [4]
- 18** Complete the cash flow forecast (Table 1): calculate the net cash flow and closing balance for each month. [6]
- 19** Advise whether Piatto should accept the special catering order of 500 pizzas at \$5.00 each. [5]
- 20** Evaluate whether break-even analysis alone is a reliable basis for the owner's decisions. [12]

PAPER 15**Budgets, variances and integrated finance**

Time: 1 hour 45 minutes

Total: 180 marks

Syllabus 5.5 – The purpose and types of budgets, using budgets for control, and the calculation and interpretation of variances, integrated with wider finance.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[68 marks]**

Answer all questions in this section.

- 1 (a) Define 'budget'. [2]
(b) Explain two purposes of budgeting for a business. [6]
- 2 (a) Distinguish between an incremental budget and a zero-based budget. [4]
(b) Explain one advantage of zero-based budgeting. [3]
- 3 (a) Define 'flexible budget'. [3]
(b) Explain why a flexible budget can give a fairer measure of performance. [3]
- 4 (a) Define 'variance'. [2]
(b) Distinguish between a favourable and an adverse variance. [4]
- 5 (a) Budgeted materials cost was \$40,000; actual was \$46,000. Calculate the variance and state whether it is favourable or adverse. [3]
(b) Suggest one possible cause of this variance. [3]
- 6 (a) Budgeted sales revenue was \$200,000; actual sales were \$224,000. Calculate the variance and state its type. [3]
(b) Explain one benefit of investigating variances. [3]
- 7 (a) Explain how budgets can be used to measure performance. [4]
(b) State two drawbacks of using budgets. [3]
- 8 (a) Explain how budgets can motivate or demotivate employees. [4]
(b) Explain why involving managers in setting budgets can be beneficial. [3]
- 9 (a) Explain the term 'budget holder'. [2]
(b) Analyse how budgeting helps a business allocate and control resources. [6]
- 10 (a) Explain why a favourable variance is not always a good sign. [4]
(b) State one link between budgets and a business's objectives. [3]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse the benefits to a business of using budgets. [8]
(b) Evaluate whether zero-based budgeting is better than incremental budgeting. [12]
- 12 (a) Analyse how variance analysis can improve business performance. [8]
(b) Evaluate the view that budgets do more harm than good because they can demotivate staff. [12]
- 13 (a) Analyse why involving staff in the budgeting process can benefit a business. [8]
(b) Evaluate the usefulness of budgets as a control tool in a fast-changing market. [12]
- 14 (a) Analyse how a business could respond to a large adverse cost variance. [8]
(b) 'Accurate budgeting is impossible, so budgets are a waste of time.' Evaluate this statement. [12]

SECTION C – Data response – Budget control at Cobalt Café chain**[32 marks]**

Read the case study and use it in your answers.

Cobalt is a growing café chain. Head office sets budgets for each café using incremental budgeting (last year plus a fixed percentage). The manager of the busy Riverside café complains that the budget does not reflect its higher customer numbers, and that she is blamed for 'adverse' cost variances that simply reflect serving more customers. The finance director is considering flexible budgets and more manager involvement.

The table shows Riverside's budget against actual results for last month. Head office wants to understand the variances before deciding how to budget next year.

Table 1: Riverside café – last month (\$)

Item	Budget	Actual	Variance
Sales revenue	48,000	55,200	?
Ingredient costs	14,400	17,000	?
Wages	12,000	12,800	?
Other costs	9,600	9,300	?
Profit	12,000	16,100	?

- 15** Define the term 'adverse variance'. **[2]**
- 16** Calculate the sales revenue variance and state whether it is favourable or adverse. **[3]**
- 17** Calculate the profit variance and state its type. **[3]**
- 18** The ingredient cost variance is \$2,600 adverse. Explain why this may not indicate poor performance by the manager. **[4]**
- 19** Analyse how using a flexible budget would give a fairer assessment of the Riverside café. **[8]**
- 20** Recommend how Cobalt should budget for its cafés in future (e.g. incremental, flexible, zero-based, with more manager involvement). Justify your recommendation. **[12]**

PAPER 16**Mixed / synoptic paper (all AS topics)**

Time: 1 hour 45 minutes

Total: 181 marks

Synoptic – draws on the whole AS syllabus (enterprise, structure, HRM, marketing, operations and finance), as in a real 9609 examination.

Answer ALL questions. Show all workings in calculations. The number of marks is given in brackets [] at the end of each part.

SECTION A – Short-answer questions**[70 marks]**

Answer all questions in this section.

- 1 (a) Define 'added value'. [2]
(b) Explain two ways a business could increase the value it adds. [6]
- 2 (a) Define 'limited liability'. [2]
(b) Explain one reason a growing business might change from a partnership to a private limited company. [4]
- 3 (a) Define 'labour turnover'. [2]
(b) Analyse two consequences of high labour turnover. [6]
- 4 (a) Distinguish between financial and non-financial motivators. [4]
(b) Explain one non-financial method of motivation. [3]
- 5 (a) Define 'market segmentation'. [2]
(b) Explain two benefits of market segmentation. [6]
- 6 (a) Define 'capacity utilisation'. [2]
(b) A firm produces 8,400 units against a maximum of 12,000. Calculate capacity utilisation and explain one problem of low utilisation. [5]
- 7 (a) Define 'contribution per unit'. [2]
(b) A product sells for \$30, variable cost \$18, fixed costs \$48,000. Calculate the break-even output. [4]
- 8 (a) Distinguish between cash and profit. [4]
(b) Explain why a profitable business can run out of cash. [3]
- 9 (a) Define 'corporate social responsibility (CSR)'. [2]
(b) Analyse one benefit and one cost of CSR to a business. [6]
- 10 (a) Define 'variance'. [2]
(b) Budgeted profit was \$90,000; actual was \$78,000. Calculate the variance and state its type. [3]

SECTION B – Essay questions**[80 marks]**

Answer all questions. Marks are awarded for analysis and evaluation.

- 11 (a) Analyse how the objectives of a business might change as it moves from start-up to a large plc. [8]
(b) Evaluate whether motivation or effective management is more important to business success. [12]
- 12 (a) Analyse how a business could use the marketing mix to launch a new product successfully. [8]
(b) Evaluate the view that finance is the most important functional area for a new business. [12]
- 13 (a) Analyse how improving productivity could affect a business's costs and competitiveness. [8]
(b) Evaluate whether a business should always prioritise the interests of its shareholders over other stakeholders. [12]

- 14 (a)** Analyse the factors a business should consider when choosing a source of finance for expansion. **[8]**
- (b)** 'A business that manages its people well will succeed.' Evaluate this view. **[12]**

SECTION C – Data response – Zephyr Sportswear – a whole-business decision [50 marks]

Read the case study and use it in your answers.

Zephyr Sportswear is a private limited company making premium athletic clothing. Demand is growing and Zephyr is considering a major expansion: a new automated factory, entry into a new overseas market, and a large recruitment drive. It must decide how to finance the expansion, how to market to the new country, how to organise production, and how to motivate a rapidly growing workforce.

Zephyr currently sells online (direct) at premium prices, with a strong brand and loyal customers. The finance director is cautious about rising debt; the marketing director wants to protect the premium brand; the operations director worries about quality if production is scaled up too fast.

Table 1: Zephyr summary data

Measure	Value
Revenue	\$14.6m
Net profit margin	11%
Selling price (avg garment)	\$60
Variable cost (avg garment)	\$27
Annual fixed costs	\$5.28m
Existing long-term debt	low

- 15** Define the term 'brand'. **[2]**
- 16** Calculate the contribution per garment. **[2]**
- 17** Using the data, calculate Zephyr's break-even output (garments per year). **[3]**
- 18** Explain one reason Zephyr should protect its premium brand during expansion. **[4]**
- 19** Analyse how Zephyr should finance the expansion, given the directors' concerns. **[8]**
- 20** Recommend how Zephyr should manage the expansion across marketing, operations and finance to protect its brand and grow successfully. Justify your answer. **[12]**